

Bangladesh - Money Laundering Prevention Obligations, Remittance and Trade Controls

Customer identification, cash and suspicious transaction reporting, export repatriation and mobile financial services

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Modelled on public sources	Bangladesh Money Laundering Prevention Act framework, Anti-Terrorism Act, BFIU circulars and foreign exchange regulation, publicly available
Classification	SYNTHETIC - HACKATHON TRAINING DATA

This document is synthetic content authored for a multi-agent fraud intelligence hackathon. It paraphrases the structure and themes of public materials (Bangladesh Money Laundering Prevention Act framework, Anti-Terrorism Act, BFIU circulars and foreign exchange regulation, publicly available) but contains no verbatim reproduction of them. Thresholds, codes and identifiers are illustrative.

1. Reporting organisations and supervision

Reporting organisations include banks, financial institutions, insurers, money changers, money remitters, mobile financial service providers, capital market intermediaries, and designated non-financial businesses including real estate developers, dealers in precious metals and stones, lawyers, notaries and accountants. Supervision and guidance are issued by the national financial intelligence unit housed within the central bank.

2. Identification and reporting thresholds

Report or duty	Threshold (illustrative)	Deadline
Customer identification at account opening	Any amount	Before activation; national identity verification against the central registry
Uniform account opening form and KYC profile	Any amount	Refreshed on risk-based cycle; annually for high risk
Cash transaction report	Aggregate cash deposits or withdrawals above the statutory daily threshold per account	Monthly consolidated submission
Suspicious transaction or activity report	No threshold	Promptly on forming suspicion; no tipping off
Cross-border currency declaration	Above the traveller declaration threshold	On entry or exit

Report or duty	Threshold (illustrative)	Deadline
Foreign exchange transaction record	Any outward remittance	Retained with underlying purpose documentation

Outward remittance is permitted only for purposes authorised under the foreign exchange framework and with supporting documentation. An outward transfer described only as a personal transfer, without an authorised purpose code, is an indicator rather than a routine payment.

3. Trade-based controls

The export-oriented ready-made garment sector, together with commodity imports, dominates the national trade flow and consequently the trade-based laundering risk. Institutions financing or settling trade shall reconcile the commercial documents against the payment.

- Export proceeds must be repatriated within the period prescribed by the foreign exchange framework; unrepatriated or partially repatriated proceeds are a reportable indicator.
- Under-invoicing of exports and over-invoicing of imports are the two dominant national typologies; unit price shall be compared against a reliable reference for the same product category and destination.
- Back-to-back letters of credit used by export processing zone entities require reconciliation between the master and the back-to-back credit values.
- Repeated amendment of a letter of credit's value, beneficiary or destination port after issuance requires documented commercial justification.
- Payment to a supplier in a jurisdiction unrelated to the manufacture or shipment route requires justification before settlement.

4. Remittance and informal value transfer

Inbound wage-earner remittance is a major and legitimate flow, principally from Gulf corridors and from South-East Asia. The control objective is to distinguish genuine remittance from informal value transfer arrangements used to move criminal proceeds outside the formal system.

- Informal value transfer, known domestically as hundi, is prohibited; indicators include domestic disbursement to many unrelated beneficiaries with no matching formal inbound transfer.
- Beneficiary accounts receiving from an implausible number of unrelated foreign senders, or from senders whose declared relationship changes repeatedly.
- Mobile financial services wallets used as collection and distribution points, with cash-out immediately after credit and activity inconsistent with the registered holder's profile.
- Agent-assisted transactions where a single agent point handles a disproportionate share of a district's volume.
- Remittance credited in local currency to an account that promptly funds an import payment with no commercial link to the beneficiary's activity.

5. Local red flags

- Newly opened business account in an export processing zone receiving inbound credits from several unrelated buyer jurisdictions within its first quarter.
- Garment exporter whose declared shipment volumes and factory capacity do not support the settled payment values.

- Real estate developer accepting fragmented payments from multiple third parties for a single unit, with a material cash component.
- Mobile wallet cluster sharing a device identifier or agent point, aggregating small credits and cashing out within hours.
- Politically exposed person's associate receiving payments from a public procurement supplier without evidenced services.
- Import payment for capital machinery with no corresponding customs clearance or installation evidence.